Module 10 Business and Company Law

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

WRITTEN QUESTIONS **(Total: 100 marks)**

Answer 1(a)

This question required candidates to analyse the distinction between an employee and an independent contractor.

Several tests have been developed by the court to determine the employment status of a person: namely, (i) the control test; (ii) the organisation test (also known as the integration test); and (iii) the multi-factor test.

The control test:
In *Ready Mixed (South East) Ltd v Minister of Pensions and National Insurance [1968] 2 QB 497,* the owner driver was required to bear all the running costs for the truck and he could choose to hire a competent driver at his own expense. He had to wear the plaintiff's uniform and carry out reasonable orders given by the plaintiff. In this case, the judge explained the three conditions which a contract of service must fulfil:

(i) The servant agrees to provide his service in consideration of a wage or remuneration.

(ii) The servant agrees expressly or impliedly to be subject to a sufficient degree of control of the other party in the performance of his service.

(iii) The other provisions of the contract are consistent with there being a contract of service.

The judge said that if the provisions of the contract as a whole are inconsistent with its being a contract of service, the person doing the work will not be a servant. It was held that the owner driver was an independent contractor.

The organisation test:
The organisation test is concerned with whether the work performed by the person is integrated into the enterprise or whether it merely plays an ancillary role in the enterprise.

The multi-factor test:
As the court gradually realises that no single test can effectively determine the nature and status of employment, a more flexible approach is adopted.

In the case of *Poon Chau Nam v Yim Siu Cheung [2007] 1 HKLRD 951,* the plaintiff (P) was injured while he was carrying out work assigned to him by the defendant (D). D had no obligation to provide work to P and P had no obligation to accept work provided by D. P was free to take up jobs provided by others without D's permission. P was paid a daily wage plus overtime and travelling allowance. D supplied most of the equipment to P to do his work. P chose to make his own MPF arrangements as a self-employed person. As an experienced air-conditioning worker, P did not require D's supervision. P was injured while he was carrying out work assigned to him by D. The issue was whether P was D's employee at the time of the accident.

In this case, the Court of Final Appeal held that the modern approach to determining whether one person is another's employee is to examine all the features of their relationship and see if it involves a nuanced and not a mechanical approach. Several factors were taken into account by the court in determining the employment status of P. It was found by the court that:

(i) The air-conditioning business was owned by D, who decided which jobs to be assigned to P, paid P at a daily rate, and bore P's travelling expenses. P did not bear any financial risks and did not share any profits or losses. Degree of control was irrelevant in this case as P was a skilled worker who did not need supervision.

(ii) The contract of employment of a casual worker did not involve any general mutual obligation to provide or accept work. Although it was possible for the parties to enter into an umbrella contract whereby they undertook mutual obligations to provide and accept work, a contract of employment could come into existence each time when a specific engagement occurred.

(iii) P was held to be an employee of D in relation to each special engagement which occurred.

On the basis of the multi-factor test, Sunny is probably an employee of Quick Service Company Limited ("QSL") as QSL exercised control over Sunny by prescribing to him the route he took in the performance of his work. Furthermore, he was only paid a daily wage plus allowance for overtime work. Sunny did not own the truck, and did not bear any financial risk or share any profits of QSL. He was an employee each time when he was engaged by QSL.

Answer 1(b)

This question required candidates to discuss the jurisdiction of the Labour Tribunal.

The Labour Tribunal, established under the Labour Tribunal Ordinance (Cap.25), offers a quick, informal, and inexpensive way of settling monetary disputes between employers and employees. No legal representation is allowed, and parties have to conduct the case themselves. Although the Tribunal Officers will help a claimant draft his/ her claim form and the Presiding Officer will assist him/ her during the hearings, the Labour Tribunal does not provide any legal advice to the parties in relation to their claims.

The Labour Tribunal deals with claims arising from alleged breach of terms of a contract of employment regarding wages due for work done, wages in lieu of notice of termination of a contract of employment by an employer without giving the required notice, payment for statutory holidays, annual leave, or severance pay, long service payment, double pay, annual bonus, commission etc.

The Labour Tribunal has jurisdiction to hear the following types of claims:

(i) Claims with a claim sum of more than HK$15,000.

(ii) Claims lodged by more than 10 claimants for a sum of more than HK$15,000 per claimant.

(iii) Claims arising from the failure of a person to comply with the provisions of the Employment Ordinance (Cap.57), the Minimum Wage Ordinance (Cap.608), or the Apprenticeship Ordinance (Cap.47).

(iv) Claims involving the breach of a term of a contract of employment.

As Sunny's claim is a claim for payment of wages in arrears and the amount claimed exceeds HK$15,000, his claim falls within the jurisdiction of the Labour Tribunal.

Answer 2(a)

This question required candidates to discuss the rules of an offer and its acceptance.

An offer can be defined as a promise that one party makes in exchange for another party's performance. It is an expression by one party of his/ her willingness to enter into a contract on specified terms to be accepted by the other party without negotiation.

An offer can be made to a specific person, a group of people, or even the public at large. An offer is made with the intention that the terms will be legally binding on the person making the offer (i.e., the offeror) as soon as they are accepted by the person to whom the offer is made (i.e., the offeree).

There is no contract unless and until an offer is accepted. In order to be valid, acceptance must be an absolute and unconditional assent to all the terms of the offer. A response to an offer is a counter-offer if it materially varies the terms, e.g., the price of the original offer. A counter-offer constitutes a rejection of the original offer which cannot be revived by purported subsequent acceptance (*Hyde v Wrench [1840] 49 ER 132*).

Winnie's reply to Larry's offer by email on Christmas Day of last year that she could only afford to pay HK$140,000 for the Vintage Watch constituted a counter-offer which rejected or destroyed Larry's original offer. As Larry's original offer could not be revived, he was not bound to sell the Vintage Watch to Winnie despite the expression of her willingness to pay Larry the original offer price of HK$200,000 in her second email to Larry on Boxing Day of last year.

Answer 2(b)

This question required candidates to discuss the rules of consideration under contract law.

Consideration can be defined as something which is given in exchange for something else under a contract. Under the law of contract, consideration is a benefit which must be bargained for between two parties and it must be something of value (at least to the parties).

Consideration is an essential element of a valid contract and can take various forms, such as monetary payment, promise to do something, or promise to refrain from doing something.

For most contracts, consideration must be reciprocal. A bare or gratuitous promise without provision of consideration is not enforceable. The exception to this rule is a special type of contract known as a deed which can be enforceable without consideration.

As regards the value of consideration by the parties, it must be sufficient although it need not be adequate. This means that the value given by one party must have some economic value in the eyes of the law, but it need not be of equivalent value to that which is given by the other party.

The price paid by Mrs. Lee for the Vintage Watch is definitely of some economic value in the eyes of the law and therefore sufficient, although it is not adequate because it is below the market price of the Vintage Watch. Therefore, the price paid by Mrs. Lee for the Vintage Watch is valid consideration.

<u>Answer 2(c)</u>

This question required candidates to discuss the rules regarding the passing of risk in the sale of goods.

The general principle of *nemo dat quod non habet* applies. This is a Latin expression which means no one gives what he/ she does not have. This principle essentially means that no one can pass a better title than he/ she has. This common law principle "where goods are sold to a person who is not the owner of thereof, and who does not sell them with the authority of or with the consent of the owner, the buyer acquires no better title to the goods than the seller had." is set out in s.23(1).

The sale of goods usually takes place between the buyer and the owner of the goods or by his/ her authorised agent. The principle of *nemo dat quod non habet* comes into play when a seller sells goods which he/ she does not have any right to sell, for instance, if the goods sold by the seller are stolen goods. A seller who sells stolen goods cannot pass a better title than he/ she has. In accordance with this principle and s.23(1), the buyer acquires no legal title and the true owner can recover the goods (or its monetary value) from the buyer, notwithstanding the fact that he/ she is a *bona fide* purchaser.

However, there are exceptions to the *nemo dat quod non habet* principle, both under common law and under the Sale of Goods Ordinance (Cap.26). One of these exceptions is market overt. S.24(1) states that "where the goods are openly sold in a shop or market in Hong Kong (in the ordinary course of business of that shop or market), the buyer will acquire a good legal title to the goods, provided that he/ she bought them in good faith and without any knowledge of the seller's defect in legal title to them".

As Mrs. Money had bought the Expensive Watch from Wonderful Antiques, a reputable antique shop, she was surprised to hear from the police that the Expensive Watch was stolen goods. Therefore, she had probably bought the Expensive Watch in good faith without knowing that it was stolen goods. By relying on the exception of market overt, Mrs. Money, who bought the Expensive Watch on the open market, will probably have acquired valid ownership of the goods, which means that the true owner could not successfully sue her for the return of the Expensive Watch (or its equivalent value). Mrs. Money probably does not have to surrender the Expensive Watch to its true owner, Mr. Wealthy.

Note: Unless otherwise stated, the reference to the above provision(s) are made to the Sale of Goods Ordinance (Cap.26).

Answer 3(a)

This question required candidates to discuss creation of agency, whether Jenny was an agent of Good Wear Company Limited ("GWL"), and whether GWL is bound to pay for the sports car ordered by her.

Agency can be created in four ways:

(i) By express appointment made orally or in writing;

(ii) By the principal's subsequent ratification or confirmation of the contract entered into by the agent acting without or in excess of his/ her authority with a third party;

(iii) By necessity whereby the agent, without any prior agreement with or authorisation of the principal, acts in good faith and for the benefit of the principal in a situation of genuine emergency and it is impossible for the agent to obtain the principal's instructions before the act is done; or

(iv) By estoppel whereby the principal has made certain representations by words or conduct which have the effect of misleading a third party into believing that the agent has the authority to enter into contracts on the principal's behalf and the third party has acted in reliance on this authority.

As GWL had paid for the two cars ordered by Jenny before Jenny placed an order for the expensive sports car, GWL had made the representation to the car dealer that Jenny was a director of GWL and had the authority to enter into contracts with a third party on behalf of GWL.

In the eyes of the car dealer, Jenny was an agent by estoppel and the car dealer had relied on Jenny's authority. Therefore, GWL is probably bound to pay for the expensive sports car ordered by Jenny.

Answer 3(b)

This question required candidates to discuss and analyse whether Reliable CPA & Co ("RCC") is liable to Richard, the purchaser of GWL's business, for negligent misstatement.

When a professional is in a legal relationship with a client which arises from a contract, he/ she also owes a concurrent duty of care towards his/ her client in tort.

In the case *Caparo Industries Plc v Dickman [1990] UKHL 2,* the accounts prepared by the chartered accountants who were auditors of a public limited company turned out to be inaccurate and misleading. Caparo Industries Plc ("Caparo") purchased shares of the public company in reliance on the accounts and sustained losses. Caparo sued the accountants for negligent misstatement.

In the case of Caparo, it was held that no duty was owed unless the criteria of the three-stage test were satisfied. These criteria were:

(i) Foreseeability of harm;

(ii) Existence of a relationship of sufficient proximity; and

(iii) Whether it is fair, just, and reasonable to impose such a duty.

In relation to existing shareholders, it was held that the accountants owed them a duty of care to ensure that the contents of the audit report were accurate to enable them to exercise their rights and make decisions as to the governance of the company and related future investments.

The court further held that for there to be a duty of care, the three factors (i.e. proximity, knowledge of who the audit report would have been communicated to, and for what purposes it would have been used) had to exist.

Imposing a duty of care on the accountants would require that there had to be knowledge that the shareholders or investors would rely on the audit report in regard to the transaction.

Therefore, the accountants in the Caparo case owed no duty to the entire public contemplating investment as they might or might not place reliance on the audit report when making financial decisions.

As Eric did not tell RCC the purpose for which he had engaged them and RCC had probably no idea of who might rely on the business valuation report when making financial decisions, Richard could probably not hold RCC liable for the over-valuation of Eric's business in the business valuation report compiled by RCC.

<u>Answer 4(a)</u>

The questions required candidates to explain duties and liabilities of partners under common law and the Partnership Ordinance (Cap.38) ("PO").

Partnership is defined in s.3(1) as the relation which subsists between persons carrying on business in common with a view to profit. A partnership is not a separate legal entity, and the partnership is not distinct from the partners.

In a partnership, each partner is an agent of other partners and the partnership. Therefore, all partners in a partnership owe fiduciary duties to one another.

Such fiduciary duties include:

(i) Duty to act in good faith - As a partnership is based on mutual trust and confidence, each partner owes a duty of acting with utmost good faith and in the best interest of the partnership/ firm.

(ii) Duty to make full disclosure - Under s.30, all partners must render true accounts and full information relating to all things which affect the partnership to all other partners.

In *Law v Law [1905] 1 Ch 140*, it was held that the sale by Partner X (the vendor) of his interest in the partnership to Partner Y (the buyer) may be set aside by Partner X because Partner Y failed to make full disclosure of the partnership, which caused Partner X to sell his interest to Partner Y at an undervalue.

(iii) Duty to account - Under s.31(1), a partner must account to the firm for any private profit made by him/ her, without the consent of the other partners, from any transaction concerning the partnership or from using partnership property, name, or business connexion.

(iv) Duty not to compete - Under s.32, a partner must not compete with the firm by carrying out any business of the same nature as that of the firm without the consent of the firm. If he/ she does so, he/ she must account for and repay to the firm all profits made.

As regards the liabilities of the partners, partners of a partnership bear unlimited liabilities because partners are not distinct/ separate from the partnership. This means that the partners are personally liable for the debts/ liabilities incurred by the partnership if partnership assets are insufficient to pay the debts/ liabilities of the partnership.

As every partner is an agent of the partnership/ firm and other partners, the acts of each partner carried out in the usual/ ordinary course of the partnership business bind the firm and other partners, even if he/ she does not have actual authority to carry out those acts, as long as it appears to a third party that he/ she has the authority to carry out those acts in the usual course of the business of the partnership.

Under s.14, every partner in a partnership is jointly and severally liable for the loss or injury sustained by any person (not being a partner of the firm) which is caused by any wrongful act or omission of any partner acting in the ordinary course of the business of the firm or with the authority of his/ her co-partners.

If Amanda wishes to set up a partnership with Susanna, Amanda will have to bear unlimited liability and may be held personally liable for the debts/ liabilities of the partnership if the partnership does not have sufficient assets to pay the debts/ liabilities incurred by the partnership. This means that Amanda may have to face the risk of personal bankruptcy.

Note: Unless otherwise stated, the reference to the above provision(s) are made to the Partnership Ordinance (Cap.38).

Answer 4(b)

This question required candidates to discuss whether Amanda may incur criminal liability under the anti-money laundering laws of Hong Kong if she agrees to follow what Rocky has asked her to do.

Under s.25(1), a person commits the offence of money laundering if he/ she deals with a property, knowing or having reasonable grounds to believe that the whole or part of the property directly or indirectly represents the proceeds of an indictable offence.

Under s.25(3), a person is liable to a fine of HK$500,000 and to imprisonment for 3 years on summary conviction or on conviction upon indictment to a fine of HK$5,000,000 and to imprisonment for 14 years.

As stated in *HKSAR v Choi Sui Hey (CACC 277/2007, 31 Oct. 2008)*, paragraph 20, "If a person either allows another to use his bank account for the transmission of funds or accepts substantial funds from others which he then remits, without enquiry by him or explanation by the others, to third parties unknown to him, then, in the absence of evidence to the contrary, the inevitable inference will arise that the holder of the bank account has reasonable grounds to believe that the funds passing through the account or the funds with which he has dealt represent proceeds of an indictable offence.",

In the case of *Oei Hengky Wiryo v HKSAR (No. 2) [2007] 10 HKCFAR 98,* it was held that unlike the English position, the prosecution did not have to prove that the property was the proceeds of a crime in order to convict a defendant under s.25(1) in Hong Kong if he/ she had reasonable grounds to believe that the property he/ she had dealt with represented the proceeds of a crime.

In *HKSAR v Pang Hung Fai (FACC 8 of 2013),* it was held that the test for determining whether a defendant has reasonable grounds to believe the property dealt with represents the proceeds of an indictable offence is whether any reasonable person (meaning a common sense, right-thinking member of the community) looking at the grounds "would believe" that the property dealt with represents the proceeds of an indictable offence. This contrasts with a test of "could believe", which is an inappropriately low standard.

In this case, Amanda has not seen her secondary schoolmate Rocky for more than ten years and is probably not closely acquainted with him. Furthermore, Rocky cannot give Amanda a good reason for paying her for using her bank account instead of using his own for depositing and remitting a substantial amount of money to people Amanda does not know. Any reasonable person in Amanda's position would probably believe that the amount of HK$1 million represents the proceeds of an indictable offence. Therefore, if Amanda does what Rocky asks her to do, she may be liable for the criminal offence of money laundering under s.25(1).

Note: Unless otherwise stated, the references to the above provision(s) are made to the Organized and Serious Crimes Ordinance (Cap.455).

<u>Answer 5(a)</u>

This question required candidates to discuss and analyse what constitutes unfair prejudicial conduct under s.724.

S.724 provides that the court may exercise the power to provide relief, on a petition by a member of a company, if it considers that:

(i) The company's affairs are being or have been conducted in a manner unfairly prejudicial to the interests of the members generally or of one or more members (including the member); or

(ii) An actual or proposed act or omission of the company (including one done or made on behalf of the company) is or would be so prejudicial.

The essential elements of unfair prejudicial conduct are:

(i) The interest adversely affected must be that of a member in his/ her capacity of being a member but not in any other capacity such as an employee; and

(ii) The conduct complained of must be unfair.

In the case of *O'Neill v Philips [1999] 1 WLR 1092 (HL),* the petitioner O'Neill (O), who was formerly an employee, was given 25% of the shares by Philips (P), who initially owned all the shares of his company. It was hoped that O would subsequently take over the running of the business. At some point, there were discussions about O obtaining a 50% shareholding. However, there was never any concluded agreement for the allocation of more shares to O and no allocation of more shares to O was made.

O petitioned to the court for the winding-up of the company, alleging that company's affairs were conducted in a manner "unfairly prejudicial" to O's interests. O's petition was dismissed. It was held that there was no prejudicial conduct on the part of P because P did not remove O from participation in the management of the business and O had remained a director. O was therefore not entitled to have his shares bought out by P.

There was a recent Hong Kong case, *FACV No. 4* in 2015 (the "Yung Kee case"), about unfair prejudicial conduct. In this case, two brothers, the Petitioner and the first Respondent, respectively owned 45% and 55% of the company set up by their deceased father to run the restaurant business. Before the death of the father of the two brothers, the founder of the restaurant business, it was the intention of the father that his two sons would run the restaurant business together. His two sons were given different responsibilities, with the Petitioner being the general manager in charge of the day-to-day operations while the first Respondent was responsible for the corporate and investment strategy of the business. After the death of the father, the relationship between the two brothers deteriorated. The first Respondent's son was appointed as an additional director and subsequently his son's salary was substantially increased despite the Petitioner's opposition. The Petitioner alleged that he was not properly consulted in the restaurant and group business and was denied access to the financial information of the group.

It was held that the first Respondent had conducted the affairs of the company in a manner unfairly prejudicial to the interests of the Petitioner. As a result, a winding-up order was made, but it was stayed for 28 days for the parties to negotiate on the terms of a possible buy-out of the Petitioner's shares by the first Respondent. If no agreement could be reached after the expiry of the 28 days, the winding-up order would automatically take effect.

In this case, when Huge Profits Company Limited ("HPL") was set up, there was an understanding between Alvin and Kelvin that they would run and manage HPL jointly. The fact that Kenny's directorship fee was substantially increased despite Alvin's opposition and Alvin's removal from his directorship constitutes unfair prejudicial conduct detrimental to Alvin's interest in HPL. Therefore, Alvin may probably petition to the court for relief under s.724(1)(a) on the grounds that the affairs of HPL were conducted in an unfairly prejudicial manner.

S.725 provides that the court may make an order:

(i) restraining the conduct or the continuance of the conduct of the company's affairs in the manner mentioned in the petition with reference to s.724(1)(a);

(ii) that proceedings that the court thinks fit be brought in the company's name against any person, and on any terms, that the court so orders;

(iii) that the court thinks fit for regulating the conduct of the company's affairs in the future, for the purchase of the shares of any member of the company by another member of the company; or for the purchase of the shares of any member of the company by the company and the reduction accordingly of the company's capital, or for any other purpose;

(iv) that the company or any other person pay any damages, and any interest on those damages, that the court thinks fit to a member of the company whose interests have been unfairly prejudiced by the conduct of the company's affairs or by the act or omission.

Note: Unless otherwise stated, the references to the above provisions are made to the Companies Ordinance (Cap.622).

<u>Answer 5(b)(i)</u>

This question required candidates to discuss the grounds for winding up a company under s.177(1).

Under s.177(1), a company may be wound up by the court if:

(a) the company has by special resolution resolved that the company be wound up by the court;

(b) the company does not commence its business within a year from its incorporation, or suspends its business for a whole year;

(c) the company has no members;

(d) the company is unable to pay its debts;

(e) the event, if any, occurs on the occurrence of which the articles provide that the company is to be dissolved; or

(f) the court is of opinion that it is just and equitable that the company be wound up.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Cap.32).

<u>Answer 5(b)(ii)</u>

This question required candidates to discuss the law in respect of shareholders' petition to wind up a company on just and equitable grounds.

In this case, Alvin may rely on the just and equitable ground under s.177(1)(f) to petition to the court for the winding-up of Huge Profits Company Limited ("HPL") on just and equitable ground.

The meaning of "just and equitable" is not defined in the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Cap.32), but there are a number of established cases in which a winding-up order has been granted on just and equitable ground. There is one type of such cases where the company has been run and managed as a quasi-partnership whereby the Petitioner had a reasonable expectation to be able to participate in the operation and management of the company on the basis of an agreement or common understanding between him/ her and other members but such expectation had been frustrated.

In the case of *Ebrahimi v Westbourne Galleries Ltd [1973] AC 360*, Mr. Ebrahimi (E) and Mr Nazar (N) were partners carrying on the business of selling expensive rugs, sharing the management and the profits equally. They subsequently decided to incorporate a company to take over their business and became the directors and shareholders of the company with equal shareholding.

Soon after the company's formation, Mr. George (GN), the son of N, was made a director. Both E and N transferred to GN an equal number of shares 100 so that N and GN, father and son, had a majority of the votes in general meetings. After having fallen out with N and GN, E was removed from his directorship. E then petitioned to the court for the winding-up of the company on "just and equitable" ground.

It was held that E had been excluded from management of the company against his reasonable expectations. As the company was a small company and E was unable to effectively dispose of his interest in the company, the court made a winding-up order on just and equitable ground.

Similar to the Ebrahimi and Yung Kee cases, Alvin was excluded from the management of HPL against the agreement between him and Kelvin as well as Alvin's reasonable expectation to participate in the operation and management of HPL. Therefore, Alvin is entitled to petition to the court for the winding-up of HPL on s.177(1)(f) if he does not wish to have his shares bought out by Kelvin or if he and Kelvin cannot agree on a purchase price of his shares, as in the Yung Kee case.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Cap.32).

Answer 6(a)

This question required candidates to discuss how to convert a private company into a public company.

According to s.11(1), a private company is prohibited by its articles from offering shares to the public for subscription.

Under s.12, a company is defined as a public company if it is not a private company or a company limited by guarantee. For the purpose of listing on the Hong Kong Stock Exchange, only a public company is allowed to offer shares to the public for subscription.

A few steps need to be taken to convert a private company into a public company. First of all, the private company must pass a special resolution to alter its articles.

Then the company must, within 15 days after the date on which the alteration of its articles takes effect, deliver to the Registrar for registration (i) a notice of the alteration in specified Form, the relevant form being NAA4 in this case, and (ii) a copy of the articles as altered, certified by an officer of the company as correct (s.88(5)).

According to s.94(1), the company ceases to be a private company on the date on which the alteration takes place if a private company alters its articles so that the articles no longer comply with s.11(1)(a).

S.94(2)(a) provides that in addition to the documents required under s.88(5), the company must, within 15 days after the date on which the alteration takes effect, deliver to the Registrar for registration a notice of the change of the company's status in the specified form.

According to s.94(3), if a company contravenes subsection (2)(a), the company, and every responsible person of the company, commits an offence, and each is liable to a fine at level 3 and, in the case of a continuing offence, to a further fine of HK$300 for each day during which the offence continues.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Companies Ordinance (Cap.622).

Answer 6(b)

This question required candidates to discuss the listing requirements for companies with a Weighted Voting Rights ("WVR") Structure.

Where WVR rights are included in the articles of association of a company, certain shareholders or classes of shareholders are given shares with voting rights which are greater than one vote per share, that is, voting rights which are disproportionate to their shareholding.

A new regime was introduced on 30 April 2018 to attract innovative companies to list in Hong Kong. Chapter 8A was added to the listing rules to allow companies with WVR structures to list in Hong Kong.

Under Chapter 8A, only an "innovative company" which meets the following criteria may apply for a listing with a WVR structure:

(i) The success of the company is attributable to the application of new technologies, innovations, and/ or a new business model;

(ii) Research and development is a significant contributor to its expected value and constitutes a major activity and expense;

(iii) It has unique features or intellectual property contributable to its success; and/ or

(iv) It has an outsized market capitalisation/ intangible asset value relative to its tangible asset value.

Furthermore, such an innovative company must also satisfy the following requirements:

(i) It must have a market capitalisation of at least HK$40 billion; or

(ii) It must have a market capitalisation of at least HK$10 billion and revenue of at least HK$1 billion for the most recent audited financial year.

Under Chapter 8A, each WVR beneficiary/ shareholder must:

(i) be an individual who has been materially responsible for the growth of the business; and

(ii) have an active executive role within the business and be a director at the time of listing.

As regards voting power, a WVR beneficiary must not be entitled to more than ten times the voting power of ordinary shares on any resolution tabled at the issuer's general meeting.

Non-WVR shareholders must be entitled to cast at least 10% of the votes that are eligible to be cast on resolutions at the listed issuer's general meetings.

Non-WVR beneficiaries/ shareholders must be able to convene an extraordinary general meeting and add resolutions to the meeting agenda. The minimum stake required to do so must not be higher than 10% of the voting rights on a one vote per share basis in the share capital of the listed issuer.

Chapter 8A also stipulates that the WVR beneficiaries must beneficially own collectively at least 10% of the underlying economic interest in the applicant's total issued share capital at the time of its initial listing.

* * * END OF EXAMINATION PAPER * * *